

customary provisions require that interest be paid to the extent that income is available, but many indentures permit the directors to set aside whatever portion of the income they please for capital expenditures or other purposes, before arriving at the "available" balance. In the case of the Green Bay and Western Railroad Company Income Debentures "Series B," the amounts paid out between 1922 and 1931, inclusive, aggregated only 6% although the earnings were equal to only slightly less than 22%. The more recent indentures (e.g., Colorado Fuel and Iron Company Income 5s, due 1970) tend to place definite limits on the percentage of earnings which may be withheld in this manner from the income bondholders; but a considerable degree of latitude is usually reserved to the directors. It may be said that individual income-bond issues may be found illustrating almost every step in the range of variation between straight preferred stocks and ordinary bonds.

Low Investment Rating of Income Bonds as a Class. Since the contractual rights of income bonds are always more or less superior to those of preferred stocks, it might be thought that a greater proportion of income bonds than of preferred stocks would deserve an investment rating. Such is not the case, however. In fact we know of only one income obligation which has maintained an investment standing continuously over any length of time, *viz.*, Atchison, Topeka and Santa Fe Railway Company Adjustment 4s, due 1995.² We have here a contrast between theory and

² After more than forty years of uninterrupted interest payments, this issue lapsed temporarily from grace in 1938. May 1 interest (on bonds entitled to semiannual interest) was deferred but paid six months later. The price dropped from 103¹/₄ to 75¹/₈ but recovered to 96¹/₄—all in the year 1938. This recovery is a striking commentary on the eagerness of investors for so-called "prime bonds."

Some guaranteed income bonds of leased railroads have maintained a high investment standing, similar to that of guaranteed railroad stocks.

Example: Elmira and Williamsport Railroad Income 5s, due 2862, guaranteed by Pennsylvania Railroad and by an important subsidiary. (Note the 1,000-year maturity.) Also observe the superior position of Chicago, Terre Haute, and Southeastern Income 5s, guaranteed by the Chicago, Milwaukee, St. Paul and Pacific Railroad, in the reorganization of that system (*infra* p. 209).

Among the newer crop of income bonds, one has qualified as an investment issue almost from the start: Allied Owners Corporation 4s-5s, virtually guaranteed by Loews, Inc. In the authors' view, there was no excuse for making this an income bond in the reorganization of 1936.